BasisYield

on Canton Network

Leveraged traders pay rent every hour.
This vault collects it — auditably.

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Live demo: canton.basisyield.com · HackCanton League S2 · Financial Applications

Every transaction in the demo executes on Canton DevNet.

THE PROBLEM

Every hour, a fee nobody in this room is collecting.

Traders who borrow to bet on Bitcoin pay a fee — funding — every single hour, around the clock, to whoever takes the other side.

~14%/yr	24 × 365	~$0
avg funding paid by longs — 3.2y of Hyperliquid history	payments per year, structural, not emissions	what idle BTC/ETH treasuries earn on Canton today

Collecting it safely means holding two opposite positions at once — without showing your book. A public blockchain leaks every position to be traded against; an exchange account gives auditors and investors nothing to verify. So institutions sit it out.

THE PRODUCT

Own the coin. Bet against the coin. Keep the rent.

LONG cBTC / cETH
$400k spot
Canton custody · CIP-56

Δ = 0
asserted on-chain

SHORT BTC / ETH perp
$400k notional
Hyperliquid · $80k margin @ 5×

hourly funding → NAV (realized only)

- **Price moves cancel — enforced by the ledger.**
  The Daml template refuses any pair whose legs don't match. Not a policy — a rule in code.
- **Only received money counts.**
  NAV grows by notional × oracle-marked rate × time. The vault cannot invent yield.
- **It steps out by itself.**
  When trailing funding decays, the sign guard unwinds both legs — the vault never pays rent in reverse.

WHY ONLY CANTON

A fund's book is a poker hand. Canton lets you not show it.

Operator (custodian)	sees everything it signs — approves every trade
Investor	knows the public mandate + their own money; accounting rules are on-chain
Their auditor	watches the ENTIRE book, live, on the investor's behalf
A stranger	sees ZERO contracts — the count comes from the network, not our UI

Transparent chains leak the book. Exchange accounts can't be audited. Canton's need-to-know disclosure resolves both at once — which is why this strategy has never lived on-chain before.

NOT A MOCKUP

Running live on Canton DevNet — today.

6/6 steps	5·1·0·0	7 + 38	~2 s
lifecycle as real Daml txs	per-role visibility, ledger-enforced	Daml scripts + engine tests, green	per on-network transaction

- **Anyone can run it.**
  The public demo executes deposit → open pairs (at live Hyperliquid marks) → accrue funding → transfer → unwind → redeem, with the ledger's transaction id on every event.
- **The wire is on screen.**
  A live panel shows the raw JSON Ledger API traffic — the exact command sent and Canton's signed answer. Nothing is simulated.
- **Privacy is the network's answer.**
  Per-role contract counts are queried from Canton's own active-contract set — need-to-know enforced by the ledger, not the website.

HONEST NUMBERS

Backtested on every payment this market has ever made.

12.2%	0.21%*	4.5–22.6%	~7.7%
APY · 3.2y · both assets	max drawdown — funding model	rolling-1y range, worst to best	now — trailing 7d, net

27,534 hourly funding prints per asset — the venue's complete history. Non-lookahead, costs on both legs of every trade, never holds through negative funding, 5× leverage bounded by the liquidation buffer. Reproducible from the public repo in one command.

What we don't claim: *the 0.21% excludes cross-venue basis, liquidation and execution risk — a live two-leg pilot measures those before we market any risk figure. No real-money track record yet (the engine paper-trades); APYs are regime-dependent — hence the range.

NEXT PHASE — ALREADY VALIDATED

Gold is waiting on one leg. Margin will earn while it works.

LONG DBS gold token · H2 2026

tokenized XAU

the missing leg — Canton

SHORT XAU perp · LIVE today

$168M open interest

Hyperliquid · 6.8%/yr backtested (7 mo)

today: USDCx margin	0%/yr
next: T-bill margin (DTCC, Oct 2026)	5.2%/yr
+ funding carry	10.0%/yr
= carry sleeve (5y backtest)	11.6%/yr

Every tokenized asset Canton ships becomes the next pair or the next yield-bearing margin — through seams that already run. Dead margin is a fee every crypto venue charges; Canton removes it.

BUSINESS

Who pays, and how we reach them.

- **ICP — crypto-native treasuries, funds, DAOs ($1–100M idle).**
  Market-neutral yield with a real audit trail. Secondary: institutions entering via Canton custody — their own auditor party IS the compliance story.
- **Revenue — 1% + 10% on realized NAV growth only.**
  No fee on projections. Plus Canton network rewards (CIP-104) on genuine volume, and a 20% referral share for Canton apps that embed the vault.
- **GTM — three phases, each self-funding the next.**
  1) Testnet with two design-partner treasuries (their auditors vouch). 2) First live capital, fee-free cohort, killswitch-gated — realized NAV becomes the marketing. 3) Fee switch + composability distribution.
- **$0 CAC to start.**
  basisyield.com's existing audience, and co-marketing with the asset issuers (BitSafe, OnRails) whose tokens we make productive.

THE ASK

This mechanism already runs. Canton makes it investable.

- **Provenance**

  The engine runs 24/7 in production at basisyield.com — real Hyperliquid data, killswitch risk layer, honesty rules. The hackathon build moved it on-chain in three weeks.

- **Pilot ask**

  Testnet cBTC/cETH access (BitSafe / OnRails), two design-partner treasuries with their own auditor parties, and a validator path to mainnet.

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